SOURCEBOOK

SYSC Senior Management Arrangements, Systems and Controls

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SYSC 10 Conflicts of interest

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Application to funeral plan distribution

SYSC 10.1.-5 G This section applies to a *firm* carrying on *funeral plan distribution* in accordance with the tables in Part 3 of *SYSC 1 Annex 1*.

Application to insurance intermediaries

SYSC 10.1.-4 G

(1) Subject to *SYSC 10.1.-3R*, this section applies to a *firm* carrying on *insurance distribution activities* in accordance with the tables in Part 3 of *SYSC 1 Annex 1*. Certain *rules* are disapplied where the *firm* is subject to the provisions in *SYSC 10.1A* (see *SYSC 10.1.-3R*).

(2) Where a provision in this section applies to an *insurance intermediary*, it applies in relation to the carrying on of *insurance distribution activities*.

SYSC 10.1.-3 R The *rules* and *guidance* in the table below do not apply to a *firm* when carrying on *insurance distribution* in relation to *insurance-based investment products* where the *rules* in *SYSC 10.1A* apply instead.

Subject	Rule or guidance
Types of conflict	*SYSC 10.1.4R* , *SYSC 10.1.4AG*, *SYSC 10.1.4BR*, *SYSC 10.1.4CR*(1), (2) and (5) and *SYSC 10.1.5G*.
Record of conflicts	*SYSC 10.1.6R* , *SYSC 10.1.6AG*, *SYSC 10.1.6AAR* and *SYSC 10.1.6BG*
Disclosure of conflicts	*SYSC 10.1.8R* (1)(b), (2)(b) to (2)(d) and *SYSC 10.1.9AR*
Conflicts policy	*SYSC 10.1.10R*
Contents of policy	*SYSC 10.1.11R* , *SYSC 10.1.11AG*, *SYSC 10.1.11AAR* and *SYSC 10.1.11BG*

Application to a common platform firm

SYSC 10.1.-2 G For a *common platform firm*:

(1) [deleted]

(2) the *rules* and *guidance* in the table below apply:

Subject	Applicable rule or guidance
Application	*SYSC 10.1.-4R*, *SYSC 10.1.-3R*

General application	*SYSC 10.1.1R*
Requirements only apply if a service is provided	*SYSC 10.1.2G*
Identifying conflicts	*SYSC 10.1.3R*
Types of conflicts	*SYSC 10.1.4R*, *SYSC 10.1.5G*
Records of conflicts	*SYSC 10.1.6R*, *SYSC 10.1.6AAR*
Managing conflicts	*SYSC 10.1.7R*
Disclosure of conflicts	*SYSC 10.1.8R*, *SYSC 10.1.9G*, *SYSC 10.1.9AR*
Conflicts policy	*SYSC 10.1.10R*, *SYSC 10.1.12G*
Contents of policy	*SYSC 10.1.11R*, *SYSC 10.1.11AA R*, *SYSC 10.1.11ABR*

(3)

SYSC 10.1.7AR (Proportionality – insurance distribution activities), *SYSC 10.1.8R* (Disclosure of conflicts) and *SYSC 10.1.11ABR* (Contents of policy) also apply in relation to the carrying on of *insurance distribution activities*.

Application to a MiFID optional exemption firm and to a third-country firm

SYSC 10.1.-1 G

For a *MiFID optional exemption firm* and a *third country firm*, the rules and guidance in this chapter apply to them as if they were *rules* or as *guidance* in accordance with *SYSC 1 Annex 1* 3.2CR(1).

General application

SYSC 10.1.1 R

(1) This section applies to a *firm* which provides services to its *clients* in the course of carrying on *regulated activities* or *ancillary activities* or providing *ancillary services* (but only where the *ancillary services* constitute *MiFID business*).

(2) This section also applies to a *UK UCITS management company*.

[**Note:** The provisions in *SYSC 10.1* also implement articles 27 and 28 of the *IDD*, articles 74(1) and 88 of *CRD* and as applied under the discretion in the third paragraph of article 95(2) of the *UK CRR*, *BCD* article 22 and *BCD* Annex V paragraph 1]

SYSC 10.1.1A R

This section also applies to:

(1) a *full-scope UK AIFM* of:

(a) a *UK AIF*; and

(b) [deleted]

(c) a *non-UK AIF*; and

(2) [deleted]

Requirements only apply if a service is provided

SYSC 10.1.2 G

(1)

The requirements in this section only apply where a service is provided by a *firm*. The status of the *client* to whom the service is provided (as a *retail client*, *professional client* or *eligible counterparty*) is irrelevant for this purpose.

(2)

For the avoidance of doubt, a reference to "service" in this section includes all *insurance distribution activities*.

SRD requirements

SYSC 10.1.2A R

The requirements in this section apply to an *SRD asset manager* with regard to its engagement activities covered by the *SRD*.

[**Note:** article 3g(3) of *SRD*]

Identifying conflicts

SYSC 10.1.3 R

A *firm* must take all appropriate steps to identify and to prevent or manage conflicts of interest between:

(1) the *firm*, including its managers, employees and *appointed representatives* (or where applicable, *tied agents*), or any *person* directly or indirectly linked to them by *control*, and a *client* of the *firm*; or

(2) one *client* of the *firm* and another *client*;

that arise or may arise in the course of the *firm* providing any service referred to in *SYSC 10.1.1R* including those caused by the receipt of inducements from third parties or by the *firm's* own remuneration and other incentive structures.

[**Note:** article 23(1) of *MiFID* and articles 27 and 28(1) of the *IDD*]

Types of conflicts

SYSC 10.1.4 R

For the purposes of identifying the types of conflict of interest that arise, or may arise, in the course of providing a service and whose existence may damage the interests of a *client*, a *firm* must take into account, as a minimum, whether the *firm* or a *relevant person*, or a *person* directly or indirectly linked by *control* to the *firm*:

(1) is likely to make a financial gain, or avoid a financial loss, at the expense of the *client*;

(2)

has an interest in the outcome of a service provided to the *client* or of a transaction carried out on behalf of the *client*, which is distinct from the *client's* interest in that outcome;

(2A)

in the case of a *management company* providing *collective portfolio management* services for a *UCITS scheme*, (2) also applies where the service is provided to, or the transaction is carried out on behalf of, a *client* other than the *UCITS scheme*;

(3)
has a financial or other incentive to favour the interest of another *client* or group of *clients* over the interests of the *client*;

(4)
carries on the same business as the *client*; or in the case of a *management company*, carries on the same activities for the *UCITS scheme* and for another *client* or *clients* which are not *UCITS schemes*;

(5)
(except in the case of a *common platform firm or MiFID optional exemption firm*) receives or will receive from a *person* other than the *client* an inducement in relation to a service provided to the *client*, in the form of monies, goods or services, other than the standard commission or fee for that service; or

(6)
(in the case of a *common platform firm* or a *MiFID optional exemption firm*) receives or will receive from a *person* other than the *client* an inducement in relation to a service provided to the *client*, in the form of monetary or non-monetary benefits or services.

The conflict of interest may result from the *firm* or *person* providing a service referred to in *SYSC 10.1.1 R* or engaging in any other activity or, in the case of a *management company*, whether as a result of providing *collective portfolio management* services or otherwise.

[**Note:** article 17(1) of the *UCITS implementing Directive*]

SYSC 10.1.4A G

Other *firms* (except *common platform firms*, *MIFID optional exemption firms*, *third country firms*, *UCITS management companies* and *insurance intermediaries*) should take account of the *rule* on the types of conflicts (see *SYSC 10.1.4 R*) in accordance with*SYSC 1 Annex 1* 3.3R.

SYSC 10.1.4B R

For the purposes of identifying the types of conflict of interest that arise, or may arise, in the course of carrying on *insurance distribution activities* or funeral plan distributions*funeral plan distributions* and whose existence may damage the interests of a *client* ("A"), a *firm* must assess whether:

(1) the *firm* or a *relevant person*, or a *person* directly or indirectly linked by *control* to the *firm*; or

(2) (in the case of conflicts between A and another *client*) the other *client*,

has an interest in the outcome of the *insurance distribution activities* or *funeral plan distribution*, which meets the following criteria:

(3) it is distinct from A's interest in the outcome of the *insurance distribution activities* or *funeral plan distributions*; and

(4) it has the potential to influence the outcome of the activities to the detriment of A.

SYSC 10.1.4C R

For the purpose of carrying out the assessment in *SYSC 10.1.4BR*, a *firm* must take into account, as a minimum, whether the *firm* or a *relevant person*, or a *person* directly or indirectly

linked by *control* to the *firm*:

(1) is likely to make a financial gain, or avoid a financial loss, at the expense of the *client*;

(2) has a financial or other incentive to favour the interest of another *client* or group of *clients* over the interest of the *client*;

(3) carries on the same business as the *client*;

(4) receives or will receive from a *person* other than the *client* an inducement in relation to a service provided to the *client*, in the form of monies, goods or services, other than the standard commission or fee for that service; or

(5) is substantially involved in the management or development of *policies*, in particular where such a *person* has an influence on the pricing of those policies or their distribution costs.

SYSC 10.1.5 G The circumstances which should be treated as giving rise to a conflict of interest cover cases where there is a conflict between the interests of the *firm* or certain *persons* connected to the *firm* or the *firm'sgroup* and the duty the *firm* owes to a *client*; or between the differing interests of two or more of its *clients*, to whom the *firm* owes in each case a duty. It is not enough that the *firm* may gain a benefit if there is not also a possible disadvantage to a *client*, or that one *client* to whom the *firm* owes a duty may make a gain or avoid a loss without there being a concomitant possible loss to another such *client*.

Record of conflicts

SYSC 10.1.6 R A *firm* must keep and regularly update a record of the kinds of service or activity carried out by or on behalf of that*firm* in which a conflict of interest entailing a material risk of damage, or for a *common platform firm* or a *MiFID optional exemption firm*, a risk of damage, to the interests of one or more *clients* has arisen or, in the case of an ongoing service or activity, may arise.
[**Note:** article 20(1) of the *UCITS implementing Directive*]

SYSC 10.1.6A G Other *firms* (other than *common platform firms*, *MiFID optional exemption firms*, *third country firms* and *insurance intermediaries*) should also take account of the *rule* on records of conflicts (see *SYSC 10.1.6 R*) in accordance with *SYSC 1 Annex 1* 3.3R).

SYSC 10.1.6AA R A *firm* must ensure that its *senior management* receives on a frequent basis, and at least annually, written reports on all situations referred to in *SYSC 10.1.6R*.

SYSC 10.1.6B G Where *SYSC 10.4.6AAR* applies as *guidance* to a *firm* in accordance with *SYSC 1 Annex 1.3.3R*, a *firm* should read *SYSC 10.1.6AAR* as if “should” appeared in that rule instead of “must”.

Managing conflicts

SYSC 10.1.7 R A *firm* must maintain and operate effective organisational and administrative arrangements with a view to taking all reasonable steps to prevent conflicts of interest as defined in *SYSC 10.1.3 R* from adversely affecting the interests of its *clients*.
[**Note:** article 16(3) of *MiFID* and article 27 of the *IDD*]

Proportionality – insurance distribution activities

SYSC 10.1.7A R

Where a *firm* carries on *insurance distribution activities*, the arrangements in *SYSC 10.1.7R* must be proportionate to the activities performed, the *policies* sold and the type of *insurance distributor* the *firm* is or uses.

[**Note:** article 27 of the *IDD*]

Disclosure of conflicts

SYSC 10.1.8 R

(1) If arrangements made by a *firm* under *SYSC 10.1.7 R* are not sufficient to ensure, with reasonable confidence, that risks of damage to the interests of a *client* will be prevented, the *firm* must clearly disclose the following to the *client* before undertaking business for the *client*:

1. (a) the general nature or sources of conflicts of interest, or both; and
2. (b) the steps taken to mitigate those risks.

(2) The disclosure must:

(a) be made in a *durable medium*;

(b) clearly state that the organisational and administrative arrangements established by the *firm* to prevent or manage that conflict are not sufficient to ensure, with reasonable confidence, that the risks of damage to the interests of the *client* will be prevented;

(c) include specific description of the conflicts of interest that arise in the provision of services, taking into account the nature of the *client* to whom the disclosure is being made;

(d) explain the risks to the *client* that arise as a result of the conflicts of interest; and

(e) include sufficient detail, taking into account the nature of the *client*, to enable that *client* to take an informed decision with respect to the service in the context of which the conflict of interest arises.

(3) This *rule* does not apply to the extent that *SYSC 10.1.21 R* applies.

[**Note:** 23(2) and (3) of *MiFID* and article 28(2) and (3) of the *IDD*]

SYSC 10.1.9 G

Firms should aim to identify and manage the conflicts of interest arising in relation to their various business lines and their *group's* activities under a comprehensive *conflicts of interest policy*. In particular, the disclosure of conflicts of interest by a *firm* should not exempt it from the obligation to maintain and operate the effective organisational and administrative arrangements under *SYSC 10.1.7 R*. While disclosure of specific conflicts of interest is required by *SYSC 10.1.8 R*, an over-reliance on disclosure without adequate consideration as to how conflicts may appropriately be managed is not permitted.

SYSC 10.1.9A R

A *firm* must treat disclosure of conflicts pursuant to *SYSC 10.1.8R* as a measure of last resort to be used only where the effective organisational and administrative arrangements established by the *firm* to prevent or manage its conflicts of interest in accordance with *SYSC 10.1.3R* and

SYSC 10.1.7R are not sufficient to ensure, with reasonable confidence, that risks of damage to the interests of the *client* will be prevented.

Conflicts policy

SYSC 10.1.10 R

(1)

A *firm* must establish, implement and maintain an effective *conflicts of interest policy* that is set out in writing and is appropriate to the size and organisation of the *firm* and the nature, scale and complexity of its business.

(2)

Where the *firm* is a member of a *group*, the policy must also take into account any circumstances, of which the *firm* is or should be aware, which may give rise to a conflict of interest arising as a result of the structure and business activities of other members of the *group*.

[**Note:** article 18(1) of the *UCITS implementing Directive*]

Contents of policy

SYSC 10.1.11 R

(1) The *conflicts of interest policy* must include the following content:

1. (a)

it must identify in accordance with *SYSC 10.1.3 R*, *SYSC 10.1.4 R*, *SYSC 10.1.4BR* and *SYSC 10.1.4CR* (as applicable), by reference to the specific services and activities carried out by or on behalf of the *firm*, the circumstances which constitute or may give rise to a conflict of interest entailing a material risk of damage, or for a *common platform firm* or a *MiFID optional exemption firm* a risk of damage, to the interests of one or more *clients*; and

2. (b)

it must specify procedures to be followed and measures to be adopted by a *firm* in order to manage, or for a *common platform firm* or *MiFID optional exemption firm* to prevent or manage, such conflicts.

(2) The procedures and measures provided for in paragraph (1)(b) must:

(a)

be designed to ensure that *relevant person*s engaged in different business activities involving a conflict of interest of the kind specified in paragraph (1)(a) carry on those activities at a level of independence appropriate to the size and activities of the *firm* and of the *group* to which either of them respectively belongs, and to the materiality of the risk of damage to the interests of *clients*;

(aa)

(for an *insurance intermediary* or a *firm* carrying on *funeral plan distribution*) be designed to ensure that the *insurance distribution activities* or *funeral plan distribution* are carried out in accordance with the best interests of the *client* and are not biased due to conflicting interests of the *insurance intermediary*, the *firm* carrying on *funeral plan distribution* or another *client*; and

(b)

include, for a *firm*, where appropriate, the following, and for a *management company*, such of the following as are necessary and appropriate for the *management company* to ensure the requisite degree of independence:

1. (i)
   effective procedures to prevent or control the exchange of information between *relevant person*s engaged in activities involving a risk of a conflict of interest where the exchange of that information may harm the interests of one or more *clients*;
2. (ii)
   the separate supervision of *relevant person*s whose principal functions involve carrying out activities on behalf of, or providing services to, *clients* whose interests may conflict, or who otherwise represent different interests that may conflict, including those of the *firm*;
3. (iii)
   the removal of any direct link between the remuneration of *relevant person*s principally engaged in one activity and the remuneration of, or revenues generated by, different *relevant person*s principally engaged in another activity, where a conflict of interest may arise in relation to those activities;
4. (iv)
   measures to prevent or limit any *person* from exercising inappropriate influence over the way in which a *relevant person* carries out services or activities;
5. (v)
   measures to prevent or control the simultaneous or sequential involvement of a *relevant person* in separate services or activities where such involvement may impair the proper management of conflicts of interest; and
6. (vi)
   (for *insurance intermediaries* or *firms* carrying on *funeral plan distribution*) a gifts and benefits policy which determines clearly under which conditions gifts and benefits can be accepted or granted and which steps are to be taken when accepting and granting gifts and benefits.

(3)

If the adoption or the practice of one or more of those measures and procedures does not ensure the requisite level of independence, a *management company* must adopt such alternative or additional measures and procedures as are necessary and appropriate for the purposes of paragraph (1)(b).

(4)

If one or more of the measures and procedures in paragraph (2) is not appropriate for the purposes of paragraph (2)(aa), an *insurance intermediary* or a *firm* carrying on *funeral plan distribution* must adopt such alternative measures and procedures as are necessary and appropriate.

(5)

The procedures and measures provided for in paragraph (1)(b) must be appropriate to the size and activities of an *insurance intermediary* or a *firm* carrying on *funeral plan distribution*, the *group* to which it may belong and to the risk of damage to the interests of the *client*.

[**Note:** articles 18(2), 19(1) and 19(2) of the *UCITS implementing Directive*]

SYSC 10.1.11A G

Other *firms* (except *common platform firms*, *UCITS management companies*, *MiFID optional exemption firms*, *third-country firms*, *insurance intermediaries* and *firms* carrying on *funeral plan distribution*) should take account of the *rules* relating to *conflicts of interest policies* (see *SYSC 10.1.10 R* and *SYSC 10.1.11 R*) in accordance with *SYSC 1 Annex 1* 3.3R.

SYSC 10.1.11AA R

A *firm* must assess and periodically review, on at least an annual basis, the *conflicts of interest policy* established in accordance with *SYSC 10.1.10R* and *SYSC 10.1.11R* (or for a *common platform firm* or *MiFID optional exemption firm, SYSC 10.1.8R*, *SYSC 10.1.9AR* to *SYSC 10.1.11R*) and should take all appropriate measures to address any deficiencies (such as over reliance on disclosure of conflicts of interest).

SYSC 10.1.11AB R

A *common platform firm* and a *MiFID optional exemption firm*, in relation to its *insurance distribution activities*, must:

(1) take into account the factors set out in *SYSC 10.1.4BR(4)* and *SYSC 10.1.4CR(5)* when complying with *SYSC 10.1.4R*; and

(2) include the measure set out in *SYSC 10.1.11R(2)(b)(vi)* in the list of measures to be adopted, where necessary, when complying with *SYSC 10.1.11R(2)*.

SYSC 10.1.11B G

A *firm* (other than a *common platform firm*, an *insurance intermediary* and a *firm* carrying on *funeral plan distribution*) should read *SYSC 10.1.11AAR* as if "should" appeared in that rule instead of "must".

SYSC 10.1.12 G

In drawing up a *conflicts of interest policy* which identifies circumstances which constitute or may give rise to a conflict of interest, a *firm* should pay special attention to the activities of investment research and advice, proprietary trading, portfolio management and corporate finance business, including underwriting or selling in an offering of securities and advising on mergers and acquisitions. In particular, such special attention is appropriate where the *firm* or a *person* directly or indirectly linked by *control* to the *firm* performs a combination of two or more of those activities.

Application of conflicts of interest rules to non-common platform firms when producing investment research or non-independent research

SYSC 10.1.16 R

The *rules* relating to:

(1) types of conflict (see *SYSC 10.1.4 R*);

(2) records of conflicts (see *SYSC 10.1.6 R*); and

(3) *conflicts of interest policies* (see *SYSC 10.1.10 R* and *SYSC 10.1.11 R*);

also apply to a *firm* which is not a *common platform firm* when it produces, or arranges for the production of, *investment research* that is intended or likely to be subsequently disseminated to *clients* of the *firm* or to the public, and when it produces or disseminates *non-independent research*, in accordance with *COBS 12.2*.

Additional requirements for a management company

SYSC 10.1.17 R

A *UK UCITS management company*, when identifying the types of conflict of interests for the purposes of *SYSC 10.1.4 R*, must take into account:

(1) the interests of the *firm*, including those deriving from its belonging to a *group* or from the performance of services and activities, the interests of the *clients* and the duty of the *firm* towards the *UCITS scheme*it manages; and

(2) where it manages two or more *UCITS schemes*, the interests of all of them.

[**Note:** article 17(2) of the *UCITS implementing Directive*]

SYSC 10.1.18 G

For a *UK UCITS management company*, references to client in *SYSC 10.1.4 R* and in the other *rules* in this section should be construed as referring to any *UCITS scheme*managed by that *firm* or which it intends to manage, and with or for the benefit of which the relevant activity is to be carried on.

Structure and organisation of a management company

SYSC 10.1.19 R

A *UK UCITS management company* must be structured and organised in such a way as to minimise the risk of a *UCITS scheme's* or *client's* interests being prejudiced by conflicts of interest between the *UK UCITS management company* and its *clients*, between two of its *clients*, between one of its *clients* and a *UCITS scheme*, or between two such *schemes*.
[**Note:** articles 12(1)(b) and 14(1)(d) of the *UCITS Directive*]

Avoidance of conflicts of interest for a management company

SYSC 10.1.20 R

A *UK UCITS management company* must try to avoid conflicts of interest and, when they cannot be avoided, ensure that the *UCITS schemes*it manages are fairly treated.
[**Note:** articles 12(1)(b) and 14(1)(d) of the *UCITS Directive*]

Disclosure of conflicts of interest for a management company

SYSC 10.1.21 R

(1) Where the organisational or administrative arrangements made by a *UK UCITS management company* for the management of conflicts of interest are not sufficient to ensure, with reasonable confidence, that risks of damage to the interests of the *UCITS scheme*it manages or of its *Unitholders* will be prevented, the *senior personnel* or other competent internal body of the *firm* must be promptly informed in order for them to take any necessary decision to ensure that in all cases the *firm* acts in the best interests of the *scheme* and of its *Unitholders*.

(2) A *UK UCITS management company* must report situations referred to in (1) to the *Unitholders* of the *UCITS scheme*it manages by any appropriate *durable medium* and give reasons for its decision.

[**Note:** articles 20(2) and 20(3) of the *UCITS implementing Directive*]

Collective portfolio management investment firms

SYSC 10.1.22 R

A *collective portfolio management investment firm* which manages investments other than for an *AIF* or *UCITS* for which it has been appointed as manager, must obtain approval from its *client* before it invests all or part of the *client's* portfolio in *units* or *shares* of an *AIF* or *UCITS* it manages.

[**Note**: article 12(2)(a) of the *UCITS Directive* and article 12(2)(a) of *AIFMD*]

Additional requirements for an AIFM

SYSC 10.1.23 R

An *AIFM* must take all reasonable steps to identify conflicts of interest that arise, in the course of managing *AIFs*, between:

(1) the *AIFM*, including its managers, *employees* or any person directly or indirectly linked to the *AIFM* by *control*, and an *AIF* managed by the *AIFM* or the investors in that *AIF*; or

(2) an *AIF* or the investors in that *AIF*, and another *AIF* or the investors in that *AIF*; or

(3) an *AIF* or the investors in that *AIF*, and another *client* of the *AIFM*; or

(4) an *AIF* or the investors in that *AIF*, and a *UCITS* managed by the *AIFM* or the investors in that *UCITS*; or

(5) two *clients* of the *AIFM*.

[**Note**: article 14(1) first paragraph of *AIFMD*]

SYSC 10.1.24 R

An *AIFM* must take all reasonable steps to avoid conflicts of interest and, when they cannot be avoided, manage, monitor and (where applicable) disclose those conflicts of interest in order to prevent them from adversely affecting the interests of the *AIFs* and their investors, and to ensure that the *AIFs* it manages are fairly treated.

[**Note**: article 12(1)d of *AIFMD*]

SYSC 10.1.25 R

An *AIFM* must:

(1) maintain and operate effective organisational and administrative arrangements, with a view to taking all reasonable steps designed to identify, prevent, manage and monitor conflicts of interest in order to prevent them from adversely affecting the interests of the *AIFs* and their investors;

(2) segregate, within its own operating environment, tasks and responsibilities which may be regarded as incompatible with each other or which may potentially generate systematic conflicts of interest; and

(3) assess whether its operating conditions may involve any other material conflicts of interest and disclose them to the *AIF's* investors.

[**Note**: article 14(1) second and third paragraphs of *AIFMD*]

SYSC 10.1.26 R

If the organisational arrangements made by the *AIFM* to identify, prevent, manage and monitor conflicts of interest are not sufficient to ensure, with reasonable confidence, that risks of

damage to investors' interests will be prevented, the *AIFM* must:

(1) clearly disclose the general nature or sources of conflicts of interest to the investors before undertaking business on their behalf; and

(2) develop appropriate policies and procedures.

[**Note**: article 14(2) of *AIFMD*]

Subordinate measures for alternative investment fund managers

SYSC 10.1.27 G Articles 30 to 37 of the *AIFMD level 2 regulation* provide detailed rules supplementing the provisions of article 14 of *AIFMD*.

Section : SYSC 10.1A Insurance-based investment products – Conflicts of interest

Application

SYSC 10.1A.1 G This section applies, in addition to *rules* in *SYSC 10.1*, to a *firm* when carrying on *insurance distribution* in relation to *insurance-based investment products*. Where a *firm* carries on other *insurance distribution activities* in relation to a *life policy* or *non-investment insurance contract*, the requirements in *SYSC 10.1* will apply.

Identifying conflicts

SYSC 10.1A.2 R (1) For the purposes of identifying, in accordance with *SYSC 10.1.3R* and *SYSC 10.1.8R*, the types of conflicts of interest that arise in the course of carrying out any *insurance distribution activities* related to *insurance-based investment products* and which entail a risk of damage to the interests of a *client*, a *firm* must assess whether it, a *relevant person* or any *person* directly or indirectly linked to it by *control*, has an interest in the outcome of the *insurance distribution activities*, which meets the following criteria:

(a) it is distinct from the *client's* interest in the outcome of the *insurance distribution activities*;

(b) it has the potential to influence the outcome of the *insurance distribution activities* to the detriment of the *client*.

(2) A *firm* must proceed in the same way for the purposes of identifying conflicts of interest between one *client* and another.

(3) For the purposes of the assessment in (1), a *firm* must take into account, by way of minimum criteria, the following situations:

(a) the *firm*, a *relevant person* or any *person* directly or indirectly linked to it by *control* is likely to make a financial gain, or avoid a financial loss, to the potential detriment of the *client*;

(b) the *firm*, a *relevant person* or any *person* directly or indirectly linked to it by *control* has a financial or other incentive to favour the interest of another *client* or group of *clients* over the interest of the *client*;

(c) the *firm*, a *relevant person* or any *person* directly or indirectly linked by *control* to the *firm* is substantially involved in the management or development of *insurance-based investment products*, in particular where such a *person* has an influence on the pricing of those *policies* or their distribution costs.

[**Note:** article 3 of the *IDD Regulation*]

Conflicts policy

SYSC 10.1A.3 R (1) For the purposes of *SYSC 10.1.3R*, *SYSC 10.1.7R* and *SYSC 10.1.7AR*, in so far as those *rules* apply to *insurance-based investment products*, a *firm* must establish, implement and maintain an effective conflicts of interest policy set out in writing and appropriate to its size and organisation and the nature, scale and complexity of its business.

(2) Where the *firm* is a member of a group, the policy must also take into account any circumstances, of which the *firm* is or should be aware, which may give rise to a conflict of interest arising as a result of the structure and business activities of other members of the group.

[**Note:** article 4(1) of the *IDD Regulation*]

Contents of policy

SYSC 10.1A.4 R

The conflicts of interest policy required in *SYSC 10.1A.3R* must include the following content:

(1) with reference to the specific *insurance distribution activities* carried out, the circumstances which constitute or may give rise to a conflict of interest entailing a risk of damage to the interests of one or more *clients*;

(2) procedures to be followed and measures to be adopted in order to manage such conflicts and prevent them from damaging the interests of the *client*.

[**Note:** article 4(2) of the *IDD Regulation*]

SYSC 10.1A.5 R

(1) The procedures and measures required in *SYSC 10.1A.4R(2)* must be appropriate to the size and activities of the *firm* and of the group to which it may belong, and to the risk of damage to the interests of the *client*.

(2) The procedures to be followed and measures required in *SYSC 10.1A.4R(2)* must include, where appropriate, the following:

(a) effective procedures to prevent or control the exchange of information between *relevant persons* engaged in activities involving a risk of conflict of interest where the exchange of that information may damage the interests of one or more *clients*;

(b) the separate supervision of *relevant persons* whose principal functions involve carrying out activities on behalf of, or providing services, to *clients* whose interests may conflict, or who otherwise represent different interests that may conflict, including those of the *firm*;

(c) the removal of any direct link between payments, including *remuneration*, to *relevant persons* engaged in one activity and payments, including *remuneration*, to different *relevant persons* principally engaged in another activity, where a conflict of interest may arise in relation to those activities;

(d) measures to prevent or limit any *person* from exercising inappropriate influence over the way in which *insurance distribution activities* are carried out by the *firm* or its managers or employees or any *person* directly or indirectly linked to it by *control*;

(e) measures to prevent or control the simultaneous or sequential involvement of a *relevant person* in separate *insurance distribution activities* where such involvement may impair the proper management of conflicts of interest;

(f) a gifts and benefits policy which determines clearly under which conditions gifts and benefits can be accepted or granted and which steps are to be taken when accepting and granting gifts and benefits.

(3) Where the *firm* can demonstrate that the measures and procedures referred to in (1) and (2) are not appropriate to ensure that the *insurance distribution activities* are carried out in accordance with the best interest of the *client* and are not biased due to conflicting interests of the *firm*, an *insurance undertaking* or another *client*, the *firm* must adopt adequate alternative measures and procedures for that purpose.

[**Note:** article 5 of the *IDD Regulation*]

Disclosure of conflicts

SYSC 10.1A.6 R

(1) A *firm* must avoid over-reliance on disclosure to ensure that disclosure to *clients* under *SYSC 10.1.8R*, in so far as those *rules* apply to *insurance-based investment products*, is a measure of last resort that can be used only where the effective organisational and administrative arrangements established by the *firm* to prevent or manage conflicts of interest in accordance with *SYSC 10.1.3R*, *SYSC 10.1.7R* and *SYSC 10.1.7AR*, in so far as those *rules* apply to *insurance-based investment products* are not sufficient to ensure, with reasonable confidence, that risks of damage to the interests of the *client* will be prevented.

(2) For the purposes of a disclosure of conflicts of interest a *firm* must:

(a) provide a specific description of the conflict of interest in question;

(b) explain the general nature and sources of the conflict of interest;

(c) explain the risks to the *client* that arise as a result of the conflict of interest and the steps undertaken to mitigate those risks;

(d) clearly state that the organisational and administrative arrangements established by the *firm* to prevent or manage the conflict of interest are not sufficient to ensure, with reasonable confidence, that risks of damage to the interests of the *client* will be prevented.

[**Note:** article 6 of the *IDD Regulation*]

Review of conflicts policy

SYSC 10.1A.7 R

For the purposes of *SYSC 10.1.3R*, *SYSC 10.1.7R* and *SYSC 10.1.7AR* a *firm* must assess and periodically review, on an at least annual basis, the conflicts of interest policy established in accordance with *SYSC 10.1A.3R* and take all appropriate measures to address any deficiencies.

[**Note:** article 7(1) of the *IDD Regulation*]

Record keeping

SYSC 10.1A.8 R

(1) A *firm* must keep and regularly update a record of the situations in which a conflict of interest entailing a risk of damage to the interests of a *client* has arisen or, in the case of an ongoing service or activity may arise.

(2) A *firm* must ensure its senior management receives on a frequent basis, and at least annually, written reports on the situations referred to in (1).

[**Note:** article 7(2) of the *IDD Regulation*]

Section : SYSC 10.2 Chinese walls

Application

SYSC 10.2.1 R This section applies to any *firm*.

Control of information

SYSC 10.2.2 R

(1) When a *firm* establishes and maintains a *Chinese wall* (that is, an arrangement that requires information held by a *person* in the course of carrying on one part of the business to be withheld from, or not to be used for, *persons* with or for whom it acts in the course of carrying on another part of its business) it may:

(a) withhold or not use the information held; and

(b) for that purpose, permit *persons* employed in the first part of its business to withhold the information held from those employed in that other part of the business;

but only to the extent that the business of one of those parts involves the carrying on of *regulated activities*, *ancillary activities* or, in the case of *MiFID business*, the provision of *ancillary services*.

(2) Information may also be withheld or not used by a *firm* when this is required by an established arrangement maintained between different parts of the business (of any kind) in the same *group*. This provision does not affect any requirement to transmit or use information that may arise apart from the *rules* in *COBS*.

(3) For the purpose of this *rule*, "maintains" includes taking reasonable steps to ensure that the arrangements remain effective and are adequately monitored, and must be interpreted accordingly.

(4) [deleted]

Effect of rules

SYSC 10.2.3 G *SYSC 10.2.2 R* is made under section 137P of the *Act* (Control of information rules). It has the following effect:

(1) acting in conformity with *SYSC 10.2.2 R (1)* provides a defence against proceedings brought under sections89(2), 90(1) and 91(1) of the *Financial Services Act 2012* (Misleading statements, Misleading impressions and Misleading statements etc. in relation to benchmarks) - see sections 89(3)(b), 90(9)(c) and 91(3)(b); and

(2) [deleted]

(3) acting in conformity with *SYSC 10.2.2 R (1)* provides a defence for a firm against *FCA* enforcement action, or an action for damages under section 138D of the *Act*, based on a breach of a relevant requirement to disclose or use this information.

Attribution of knowledge

SYSC 10.2.4 R When any of the *rules* of *COBS* or *CASS* apply to a *firm* that acts with knowledge, the *firm* will not be taken to act with knowledge for the purposes of that *rule* if none of the relevant

individuals involved on behalf of the *firm* acts with that knowledge as a result of arrangements established under *SYSC 10.2.2 R*.

SYSC 10.2.5 G When a *firm* manages a conflict of interest using the arrangements in *SYSC 10.2.2 R* which take the form of a *Chinese wall*, individuals on the other side of the wall will not be regarded as being in possession of knowledge denied to them as a result of the *Chinese wall*.